

# Employee Attrition Analysis

A Summary Report for the HR Director

Prepared by: Sajai S | Internship Week 2 Project

---

## What This Report Is About

This report uses data from 1,470 employees to understand why people leave the company. By analysing patterns in salary, job role, working hours, and travel habits, we built a system that can identify which employees are most likely to leave — before they do. The overall attrition rate is 16%, meaning roughly 1 in 6 employees leaves the company.

## Key Findings

### 1. Which employees are leaving the most?

Sales Representatives have the highest exit rate at nearly 40% — almost 1 in 2 leave. The Sales department as a whole loses 1 in 5 employees. Laboratory Technicians and Human Resources staff also show high exit rates above 23%.

### 2. Does salary matter?

Yes, but it is not the only reason. Employees who left earned on average Rs. 2,000 less per month than those who stayed. However, job role, overtime, and travel are even stronger predictors of whether someone will leave.

### 3. What are the top 3 reasons employees leave?

- Job Role: Certain roles like Sales Representative carry much higher exit risk.
- Overtime: Employees who are regularly asked to work beyond office hours are significantly more likely to leave.
- Business Travel: Frequent travel adds stress and increases the likelihood of an employee quitting.

### 4. When do employees leave?

Attrition is highest in the first 2 years. About 1 in 3 new joiners leave early. Employees who complete 5 or more years are much more likely to stay long term.

## Our Recommendations

**Recommendation 1 — Introduce a Fair Overtime Policy:** Limit the number of overtime hours employees can be asked to work, and ensure fair compensation for any extra hours. Start with the Sales and Laboratory Technician teams who show the highest stress-related exit rates.

**Recommendation 2 — Launch an Early Retention Program:** Create a structured support program for employees in their first 2 years — including mentorship, salary reviews every 6 months, and regular check-in conversations. Focus especially on Sales Representatives who are leaving at an alarming rate of nearly 40%.

### **Important Note for HR**

This system is a helpful guide, not a final decision maker. It was built on past data and may not reflect changes in the job market, company culture, or employee expectations going forward. We recommend using these predictions as a starting point for conversations — not as a replacement for direct communication with employees.